

Volume picked up, and the struggle between supply and demand reasserted itself. The decline stalled as traders willing to buy the stock overwhelmed reluctant sellers. The stock turned around and headed higher. By this time, chart followers could draw the two trendlines—one across the twin peaks and another below the two valleys—giving birth to the broadening top pattern. Traders jumped on the bandwagon at this point and purchased the stock. They wanted to play the anticipated rise as the formation broadened out. The stock cooperated and moved higher, reaching the top trendline once again at a new high of 55.50.

The steepness of the ascent in the latter stages was unsustainable. The peak looked like a one-day reversal, with a close near the low of the day and a tall daily price swing. However, volume was unconvincing. It was higher that day than during the prior week, but it certainly was not of the caliber of the late November spike.

In any case, the stock tumbled and soon reached a new low of 43.50, stopping right at the bottom trendline. Once the stock began moving higher, the momentum players jumped on board and volume increased along with price. Buying enthusiasm and rising momentum pushed the stock higher, climbing through the top trendline. An upward breakout occurred.

Throughout the various peaks and troughs as this chart pattern unfolded, there was a struggle between buyers and sellers. Near the lows, the buyers believed the stock was oversold, and they eagerly bought it. At the top, they and others sold their shares and pocketed handsome profits. This selling pressure, of course, sent the stock back down.

Some investors—seeing the stock decline below their purchase price and still believing that the stock had value—bought more. That behavior also helped turn the stock around at the lows and probably explained their heightened nervousness at the top. They wanted to keep their gains this time instead of watching them evaporate should the stock decline again.

The broadening top shown in the figure also makes evident that identifying the ultimate breakout is difficult. It appears that each new high or new low may be the final push to freedom. Only when price moves in the opposite direction is it clear that price will not break out. We explore ways to profit from that behavior in the Trading Tactics section.